

Modon Holding PSC

ADX: MODON · Abu Dhabi Securities Exchange · United Arab Emirates dirham (AED)
Independent valuation study · 9 August 2026 · price anchor AED 2.83 (close 7 August 2026)

READ FIRST. This study is an independent, educational analysis of Modon Holding PSC. It is not investment advice, not a recommendation, and it contains no price target. Every value in it is a model output presented as a range with its assumptions shown.

Sources. Every historical figure is taken from the company's own audited consolidated financial statements and reviewed interims, retrieved from the company's investor-relations library, or from its own results announcements — never from a data vendor. Peer figures are cross-checks only and are labelled where they appear. A companion bibliography document lists every input with its value, source and date.

The one judgement that matters most. Whether the record 2025–26 development sales surge persists or fades to backlog run-off moves this valuation more than any other input. Both readings are computed in full and shown side by side. They are never averaged.

Companion files. A formula-driven Excel model (change a blue driver and the valuation reprices) and a standalone bibliography ship with this document.

Headline

Fair value AED 0.96–7.39 per share, weighted central AED 3.71, against a market price of AED 2.83 (+31%).

Modon Holding is Abu Dhabi's government-owned city-builder: a AED 13.8bn-revenue, four-leg group spanning real-estate development (Hudayriyat Island, Reem Island, Ras El Hekma in Egypt), an asset-management platform, a hospitality portfolio of 27 hotels, and the ADNEC events business. In FY2025 — its first clean year in the combined perimeter — it earned AED 3.9bn after tax, and its half-year 2026 revenue is running +40% year on year with a AED 46.0bn revenue backlog, 93% of it contracted development sales.

The tension in this name is unusually clean. A cash-flow reading of the backlog and the four legs is worth AED 6.02 per share on the base path — and still AED 4.18 if new sales halve and fade to run-off. The market lenses cluster far lower: peer multiples imply about AED 2.60, normalised mid-cycle earnings about AED 1.36, and book value at a justified multiple about AED 2.56. The market prices Modon at 11.8x trailing earnings against 7.5x for Aldar — a premium multiple on earnings the market does not yet treat as durable. Section 4 prices exactly what discount rate the market is charging; section 1.7 shows both sales paths in full.

Over the next three months the price map is symmetric and modest: the central band runs AED 2.64–3.09 with 5th–95th percentiles at AED 2.32–3.52. A fundamental verdict of this size, if right, plays out over years, not a quarter.

Valuation summary

Lens	Bear	Base	Bull	Weight	vs price
Discounted cash flow (primary)	4.18	6.02	7.39	40%	+113%
Relative multiples	1.32	2.60	3.08	20%	-8%

Normalised earnings power	0.96	1.36	1.68	20%	-52%
Book value & sustainable return	1.54	2.56	3.59	20%	-9%
Weighted central	0.96	3.71	7.39	100%	+31%
DCF terminal value share of enterprise value: 71.4%					
Market price (7 Aug 2026)		2.83			

All figures AED per share. The DCF bear and bull are the backlog run-off and growth-hold scenarios of section 1.7, not cosmetic haircuts. The terminal value share is stated beside the lens it belongs to; the same figure is linked live in the Excel bridge.

The contested judgement, both ways: base path AED 6.02 · backlog run-off AED 4.18. Both are complete valuations of the same balance sheet; the difference is only the sales path. They are shown side by side wherever either appears.

Company overview

Modon Holding PSC is the Abu Dhabi government's listed city-development platform. The listed vehicle began as Al Qudra Holding, became Q Holding, and in 2024 absorbed Modon Properties and the ADNEC Group in a share-financed combination that multiplied the balance sheet roughly four-fold and reset the perimeter — FY2024 income carries a AED 9.2bn accounting gain from that combination and is treated as a transition year throughout this study. On 30 October 2025 IHC and ADQ sold their entire stakes to L'imad Holding Company PJSC, wholly owned by the Abu Dhabi Government, which now holds about 85% of the shares. The stock trades on ADX's growth market with a correspondingly thin free float.

The group reports four operating segments. Real Estate Development (54% of FY2025 revenue) masterplans and sells land and homes on Hudayriyat Island (>50mn sqm, 40,000 planned units), Reem Island and Al Ain, and is lead developer of phase 1 of Ras El Hekma on Egypt's north coast (170.8mn sqm gross, 500,000+ planned units) alongside La Zagaleta in Spain. Events, Catering & Tourism (36%) is the ADNEC platform: exhibition venues in Abu Dhabi and London (ExCeL), event infrastructure (Arena Group, acquired May 2025), catering and tourism. Hospitality (6%) runs 27 hotels with 7,137 keys. Asset & Investment Management (5%) holds the recurring-income portfolio (97% occupancy) and the group's financial investments, including a 50% stake in 2 Finsbury Avenue in London.

Segment	Revenue	Gross profit	Margin	Profit before tax	Assets
Real Estate Development	7,403	3,233	43.7%	2,548	55,739
Asset & Investment Mgmt	655	421	64.3%	685	11,096
Hospitality	792	211	26.6%	-69	4,602
Events, Catering & Tourism	5,009	1,325	26.5%	1,062	14,118
Group (incl. others/eliminations)	13,829	5,025	36.3%	4,421	87,031

FY2025 segments, AED mn, audited consolidated financial statements. Hospitality's pre-tax loss reflects financing and depreciation on a young portfolio; its gross profit is positive.

1 · Fundamental valuation

1.1 · Cash-flow model — the full waterfall

Revenue is built leg by leg, not as one growth rate. Development revenue converts the disclosed AED 42.6bn development backlog at a visible conversion rate — anchored to the pace actually recognised in the first half of 2026 — plus point-in-time land sales; new launches roll the backlog forward. The other three legs grow on their own operating drivers (section 1.6). Margins are outputs of that build. The model is deliberately conservative in two places: fair-value gains, bargain-purchase and disposal gains are all set to zero across the forecast, and 2026 working capital absorbs cash, as the half-year statements say it is doing, before land-bank collections turn positive from 2027.

AED mn	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	19,153	24,863	28,600	30,940	32,184
Gross profit	6,981	9,156	10,460	11,283	11,632
General & administrative	-1,685	-2,188	-2,488	-2,661	-2,736
Selling & marketing	-345	-448	-486	-526	-515
Investment and other income	160	165	170	175	180
EBITDA	5,915	7,730	8,857	9,571	9,913
EBITDA margin	30.9%	31.1%	31.0%	30.9%	30.8%
less depreciation & amortisation	804	1,044	1,201	1,299	1,352
EBIT	5,111	6,686	7,655	8,271	8,561
NOPAT = EBIT × (1 – 15.5%)	4,319	5,649	6,469	6,989	7,234
+ depreciation & amortisation	804	1,044	1,201	1,299	1,352
– capital expenditure	-1,400	-1,500	-1,550	-1,600	-1,650
– Δ working capital (release –)	1,500	-800	-1,200	-1,400	-1,400
Free cash flow to firm	2,223	5,994	7,320	8,089	8,336
Discount factor	0.9228	0.8515	0.7858	0.7251	0.6691
PV of FCFE	2,052	5,104	5,752	5,865	5,578

The explicit window sums to a present value of AED 24,351mn at the 8.37% cost of capital built in section 1.8.

Terminal block. Terminal growth of 2.5% requires reinvestment of 29.4% of NOPAT at a terminal return on capital of 8.5% — the reinvestment rate is derived, never assumed. Terminal value: AED 90,716mn, worth AED 60,702mn today — 71.4% of enterprise value, a share the reader should see and judge. FY2025's return on invested capital is only 6.1%: the terminal 8.5% embeds the at-cost land bank converting to recognised profit across the window, and section 1.9 prices the case where it does not.

Enterprise value → equity per share	AED mn
PV of explicit years	24,351
PV of terminal value	60,702
Enterprise value	85,052
of which terminal value: 71.4%	
+ cash and bank balances (incl. escrow)	12,642
– debt incl. the related-party loan	-6,789
– lease liabilities	-624
+ associates & joint ventures at book	3,724
+ financial assets	394
– non-controlling interests (book)	-847

Equity attributable, 31 Dec 2025	93,552
Per share (16,347mn shares)	5.72
Rolled 219 days to the 7 Aug 2026 anchor at the cost of equity	6.02

The bridge uses the audited 31-Dec-2025 balance sheet. Cash includes AED 4.0bn of escrow and project-restricted balances — the strict all-cash basis; the company's own "net cash" definition (AED 1.8bn) restricts to available cash. Both framings are stated; the bridge deducts all debt either way.

1.2 • Book value and sustainable return

Audited attributable equity is AED 53,903mn — AED 3.30 per share, so the market prices the group at 0.86x book. FY2025 attributable return on average equity was 7.8%; cleaned of fair-value and disposal gains it is nearer 7.5%, and that is the sustainable level this lens capitalises: a justified price-to-book of $(7.5\% - 2.5\%) / (8.93\% - 2.5\%) = 0.78x$, worth AED 2.56 per share. A group earning below its cost of equity on a large equity base is worth less than book — that arithmetic, not sentiment, is why this lens sits below the market price.

1.3 • Relative multiples

Peer (own FY2025 disclosures)	Mkt cap, AED mn	Net profit	Trailing P/E	Backlog
Aldar Properties (ADX)	61,170	8,800	7.5x	66,500
Emaar Properties (DFM)	101,650	n/d	5.3x	155,000
Emaar Development (DFM)	53,520	11,320	4.1x	134,300
Modon Holding	46,262	3,926	11.8x	46,000

Peer fundamentals from each company's own results releases; market prices and trailing multiples cross-checked on a market-data aggregator, 7 Aug 2026 — cross-checks only, labelled as such.

The UAE developer set trades at 4.1–7.5x trailing earnings. This study grants Modon a justified 8.0x on FY2026E attributable profit — a premium to Aldar for the recurring-income mix and backlog growth, tempered for the ~15% free float and the related-party concentration of its land sales — and 7.0x EV/EBITDA on FY2026E through the same bridge as the DCF. The two methods average to AED 2.60 per share. The span AED 1.32–3.08 scales the blended lens between the cheapest and richest multiples in the peer set.

1.4 • Normalised earnings power

Through a full cycle this study assumes development sales settle near AED 18.0bn a year — between the base path's terminal year and the run-off tail — with the recurring legs grown moderately, giving normalised revenue of about AED 22.7bn and a through-cycle net margin of 11.5% (FY2025 cleaned of one-offs earned 23.9%). That is normalised earnings of AED 2,613mn, or AED 0.160 per share, worth AED 1.36 at a through-cycle 8.5x. This is the harshest lens: it treats 2025–26 as the top of a cycle, not a new base.

1.5 • Synthesis — four lenses, one field

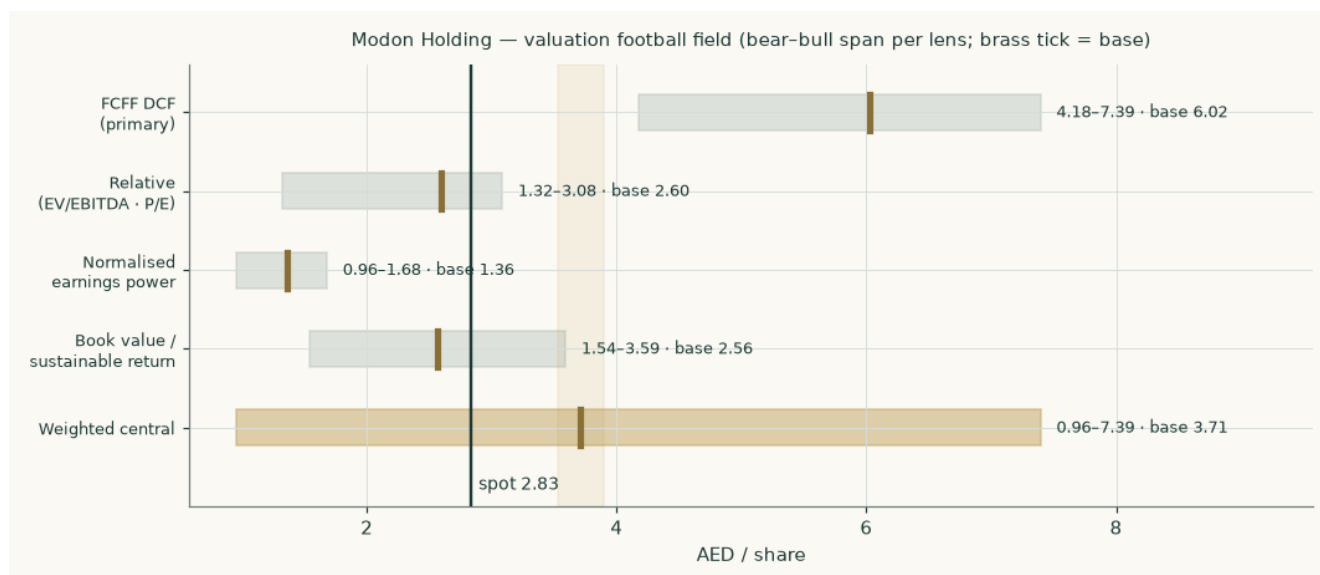


Figure 1 — the four lenses and the weighted central against the market price. The DCF span is the run-off-to-growth-hold scenario spread.

The weights are a judgement, stated: DCF 40% because the contracted backlog gives unusual forward visibility for a developer; relative, normalised and book 20% each because the market lenses are real evidence — a cheap, liquid peer set against a tightly-held stock — not decoration. The result, AED 3.71, sits +31% above the market. Section 4 confronts that gap directly.

1.6 · Drivers — each leg on its own driver

Leg	Driver build	FY2026E→FY2030E
Development	conversion of opening backlog (24%→33%) + land sales; new sales AED 26.0bn→19.0bn/yr roll the backlog	revenue AED 12.0bn→23.5bn
margin	gross margin 41.0%→38.0% as related-party land mix fades and construction costs (~4%/yr, its own escalator) outrun realised-price escalation (~2%)	output, not input
Asset & investment mgmt	10.0% then ~8%/yr on contracted occupancy (97%) and GLA additions; margin held at the disclosed 64.0%	AED 720mn→989mn
Hospitality	7,137 keys; occupancy 71%→~75% plus the Olympia resort ramp; margin 26.6%→30.0%	AED 839mn→1,080mn
Events, catering & tourism	first year anchored on the actual first half plus the events-heavy second half; ~4%/yr thereafter; wage-led costs on their own escalator	AED 5.6bn→6.6bn
Working capital	absorbs AED 1.5bn in 2026 (the half-year statements show receivable build-up), then releases 0.8–1.4bn/yr as the land bank converts and escrows collect	release funds the growth
Tax	the 15% domestic minimum top-up floor plus the observed UK/Spain uplift (first-half 2026 effective rate 15.4%)	15.5%

Unit anchors, disclosed: FY2025 sales of AED 36.3bn across 6,358 units — AED 7.0mn per unit in Abu Dhabi, AED 3.1mn internationally. Per-project volumes and prices are not disclosed, so the build stops at the segment level with unit-level anchors — that gap is flagged, not papered over.

1.7 · The crux — the sales path, priced both ways

	Base: normalising-but-sustained	Alternative: backlog run-off
New development	AED 26.0bn falling to 19.0bn/yr	AED 15.0bn falling to 8.0bn/yr

sales		
Development margin	41.0%→38.0%	40.0%→35.0%
FY2030E group revenue	AED 32.2bn	AED 22.4bn
Value per share	AED 6.02	AED 4.18
What it assumes	Abu Dhabi's structural demand (record AED 76bn residential sales in 2025, 62% of growth foreign-led) persists; Modon holds share; Ras El Hekma phases deliver	the 2025 surge was the cycle top; launches halve and keep fading; pricing power goes with volume

Even the run-off reading values the group +48% against the market price — the balance sheet (net cash on the strict basis, an at-cost land bank) does much of the work. What separates the two readings is AED 1.84 per share of launch-dependent value. The growth-hold upper reading (sales held at AED 30bn) reaches AED 7.39. This study weights neither to zero: the base path already normalises sales ~30–45% below 2025's record.

1.8 · Macro and country — the cost of capital, built and priced

Every rate is sourced and each risk is charged once. The AED government curve gives 4.48% (the January-2031 dirham treasury tranche auctioned in July 2026, about 4bp over comparable US Treasuries); netting the UAE's own 0.42% sovereign default spread — which is already inside the equity premium — leaves a normalised risk-free rate of 4.06%. The UAE equity risk premium on the rating basis is 4.87%; no traded sovereign CDS series exists for the UAE, so a CDS-basis alternative cannot be constructed and the rating basis stands alone, stated as such. Beta could not be regressed: no downloadable history of the exchange's index proved obtainable from seven independent sources (the bibliography lists each attempt), so beta is set to 1.0 — the standing fallback — flagged as interim and sensitised 0.8–1.2 in section 1.9, a ±12% swing on the DCF.

Cost of capital	Value	Construction
Risk-free rate, normalised	4.06%	4.48% AED sovereign – 0.42% default spread
Cost of equity	8.93%	$rf^* + 1.0 \times 4.87\%$
Marginal cost of debt	5.36%	6M EIBOR 3.71% + 1.65% blended margin
after tax	4.53%	$\times (1 - 15.5\%)$
Weights	87.2% / 12.8%	market equity AED 46,262mn; book debt AED 6,789mn
Cost of capital, explicit window	8.37%	weighted
Cost of capital, terminal	8.27%	85%/15% normalised weights

Cost-of-debt evidence (loan note, FY2025)	Rate	Maturity
Largest new AED tranche (AED 1,415mn, general purpose)	6M EIBOR + 0.60%	Jan-2027
AED construction tranches	3M EIBOR + 0.85% to + 2.5%	2028–2030
GBP venue debt (ExCeL London, hotels)	SONIA + 0.95% to + 2.05%	2028–2029
USD project tranches	SOFR + margin (to + 4.98%)	2026–2027
Fixed AED tranches	3.32% – 4.36%	2028–2033
Blended marginal rate used	5.36%	above the 4.48% sovereign, as it must be

Realised effective rate on average borrowings, FY2025	5.9%	interest charge over average loan book
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Debt currency, split and carried honestly: of the AED 5,136mn loan book, roughly a third is sterling and dollar project debt against the London venues; the dollar legs cost what AED legs cost through the peg, and the sterling legs are secured on sterling-earning assets — a natural hedge, noted rather than modelled away. Two priced stress readings sit on top: charging the ~17% of revenue earned outside the UAE with Egypt's country premium cuts the DCF to AED 5.09; and the 1-point conflict adder that regional studies carried in mid-2026 is retired here on the auction evidence (4bp over Treasuries), but adding a full point back to the cost of equity appears in the sensitivity strip below. Tax is modelled at the 15% domestic-minimum floor with the observed foreign uplift, not the 9% headline.

1.9 • Sensitivity

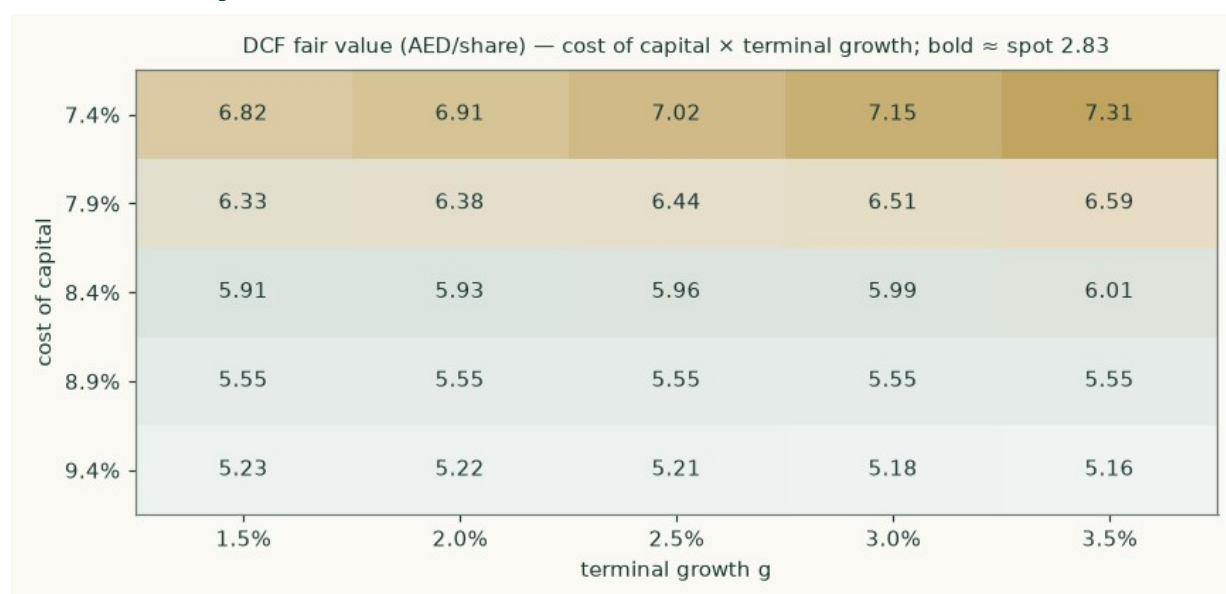


Figure 2 — DCF fair value across the cost of capital and terminal growth. Note the flat rows near the top-right: at a terminal return on capital close to the cost of capital, growth adds almost nothing — the valuation is carried by the cash flows, not by the growth assumption.

One-way strip (DCF per share)	−2	−1	base	+1	+2
Beta 0.8 → 1.2	6.87	6.41	6.02	5.69	5.39
Development margin ±4pts	5.43	5.73	6.02	6.32	6.62
Conversion rate ±6pts	5.68	5.87	6.02	6.15	6.25
New sales 50%→150% of base	4.47	5.25	6.02	6.80	7.58
Working-capital release ±AED 1bn/yr	5.77	5.90	6.02	6.15	6.28
Cost of equity +0 → +2pts	6.02	5.68	5.38	5.11	4.88

Each strip cell is a complete revaluation. The crux is sensitised in its own units: sales in dirhams per year, margins in points, conversion in points of backlog. One artifact is worth naming: a faster conversion rate slightly LOWERS the total value here, because it drains the backlog that feeds the terminal year while the explicit-window gain is smaller — a conservative property of anchoring the terminal value on the final forecast year.

2 • Technical and price structure



Figure 3 — the last 260 sessions against the 20/50/100/200-day moving averages.

The price closed 2.83 below a falling 20-day (2.88), a falling 50-day (2.95) and a falling 200-day (3.21). Momentum is soft: RSI(14) is ~39 and the daily ATR near 0.05 (~1.8%) points to a normal tape. MACD (12·26·9) is below zero but turning up (−0.04 / −0.04 / +0.00). Over the last year it has ranged 2.76–3.82; the last close sits 26% below that high and 3% above that low.

Trading below the whole moving-average stack, under a falling 200-day. A daily close back above 2.88 would clear the nearest resistance and open the 3.57 zone. A close below 2.76 would break the nearest support and open the 2.40 zone.

Nearest levels (computed from swing-point clusters)	AED
Resistance 3	3.57
Resistance 2	3.30
Resistance 1 (nearest)	2.88
Last close (7 Aug 2026)	2.83
Support 1 (nearest)	2.76
Support 2	2.70
Support 3	2.40

Levels are recency-weighted swing-point clusters computed from the full price history; nearest levels are listed first. The read is computed, not drawn by hand, and refreshes with the data.

3 · Probabilistic price map

The map below is struck from the 7 August 2026 close of AED 2.83 using a volatility model fitted to this market's panel of ADX/DFM names, with drift set to the short-term dirham interest rate (no dividend is paid or proposed, a sourced zero, not an assumption) and 50,000 simulated paths. Percentiles are read off the simulated distribution; the touch rows ask whether a level trades at any point inside the window, not only at its end.

How much to trust it: tested on 17 non-overlapping three-month windows walked forward over the post-2022 trading regime (with earlier windows from 2020–21 excluded because the UAE changed its trading week in January 2022), this method's probability forecasts beat a drift-adjusted random walk by 4.2% on a proper scoring rule, an edge that holds across every resampling scheme tried; the 80% band contained 94% of outcomes and the 90% band 94%, and the forecast percentile of realised prices is statistically indistinguishable from uniform —

on a sample this size those are healthy, not perfect, marks. Treat the bands as calibrated ranges, not promises.

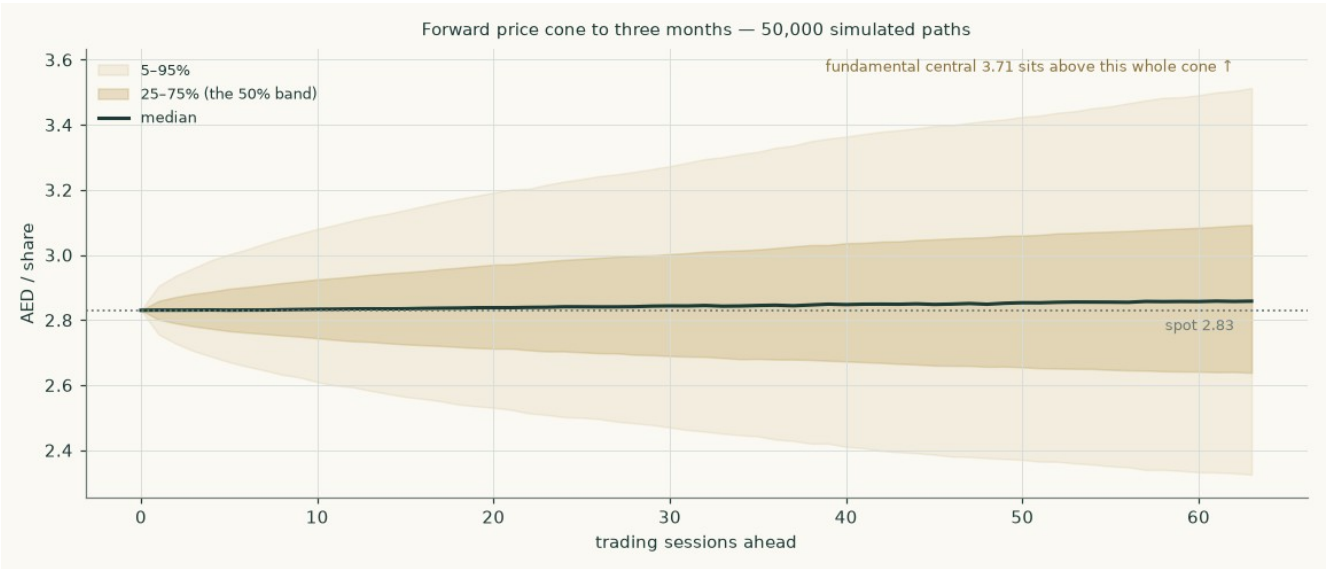


Figure 4 — the three-month price cone: median, central 50% band and 5-95% band across 50,000 paths.

	1 month (to 2026-09-07)	3 months (to 2026-11-09)
5th percentile	2.54	2.32
25th percentile	2.72	2.64
Median	2.84	2.86
75th percentile	2.96	3.09
95th percentile	3.17	3.52
P(finish above spot)	52%	53%
P(finish $\geq +10\%$)	8%	23%
P(finish $\leq -10\%$)	6%	17%
P(touch +5% at any point)	39%	65%
P(touch -5% at any point)	35%	59%
P(touch +10% at any point)	13%	41%
P(touch -10% at any point)	9%	32%

Both windows are calendar-defined: one and three calendar months from the anchor, settled on the first trading session on or after each date.

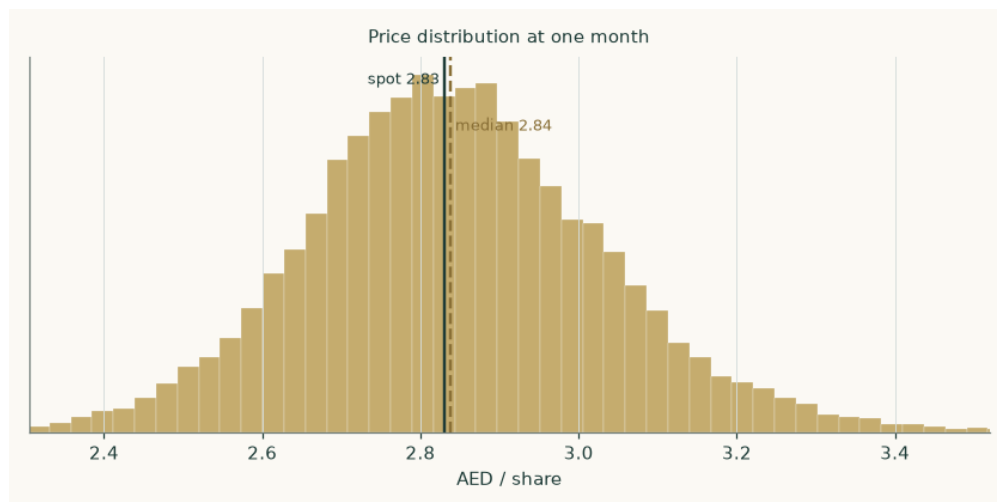


Figure 5 — simulated price distribution at one month.

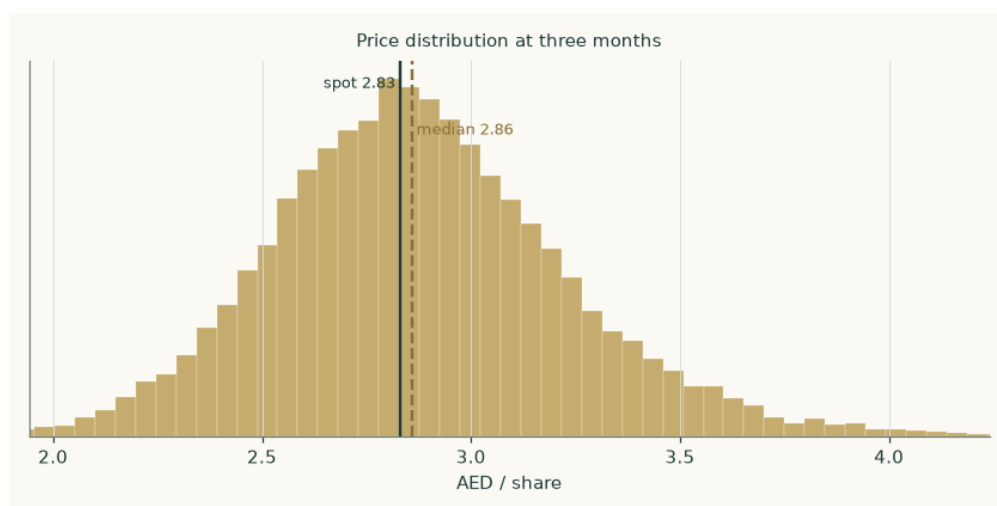


Figure 6 — simulated price distribution at three months.

4 • Comparison of the lenses

The gap is the story. The cash-flow lenses say AED 4.18–7.39 depending on the sales path; the market lenses say AED 1.36–2.60. That is not a rounding disagreement, and averaging it away would hide the actual decision. Three readings are possible, and the honest study prices all three. First: the market is right about the risk. Solving for the discount rate that makes the base cash flows worth AED 2.83 requires a cost of equity of 20.3% — 11.4% above the built-up rate. That is the premium of a frontier-market credit, charged to a AA-rated sovereign's own developer: a stiff but not absurd reading, given ~85% government ownership, related-party land sales and a receivable book that absorbed AED 5.4bn of cash in the first half of 2026.

Second: the market is pricing the run-off and a discount for control and float. The run-off DCF (AED 4.18) at a further ~30% holding-company-style discount for the 15% float and related-party revenue lands almost exactly on the market price. Third: the market lenses anchor on this year's multiple while the cash-flow lenses anchor on the contracted backlog — and 71.4% of the DCF's enterprise value sits in its terminal value, which is where scepticism belongs. The weighted central of AED 3.71 splits these readings explicitly rather than pretending they agree; what would move it decisively either way is listed in section 7.

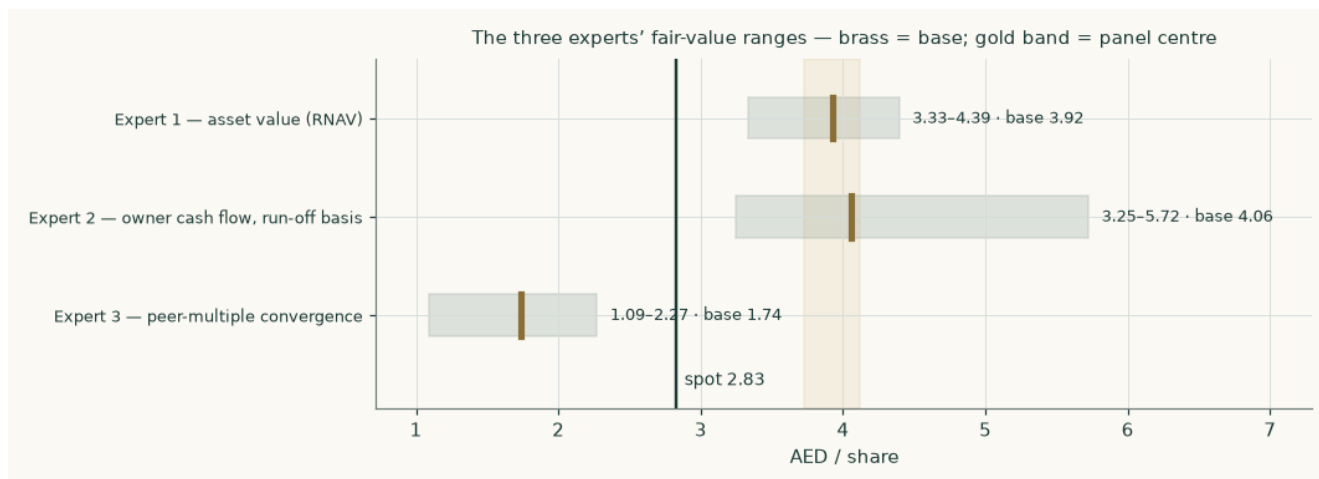


Figure 7 — three independent expert framings (Appendix C, worked in full) against the market price.

5 • Catalysts

- **Results and collections.** Full-year 2026 results (February 2027): the first full year in which the backlog conversion pace, the receivable collection and the events platform's H2 season are all visible at once.
- **Related-party collections.** Every AED of the ~AED 8bn net related-party receivable book (Department of Finance the largest counterparty) collected converts a paper claim into distributable cash and is the single cleanest de-risking signal available.
- **Egypt execution.** Ras El Hekma phase-1 delivery milestones and further precinct launches; the first launch sold AED 5.8bn across 2,109 units.
- **Capital returns.** A maiden dividend policy would force the market to price the cash flows as owner earnings; none has been announced.
- **Float and flow.** Any placement widening the ~15% free float changes the relative lens directly — index eligibility and liquidity are the mechanical constraints on the multiple.
- **Rates.** The dirham imports US policy: each cut lowers both the discount rate and mortgage-linked demand friction; the model's rates are struck off the July 2026 curve.

6 • Reading the probability zones

The three-month map says: a two-in-three chance the price sits between AED 2.64 and 3.09 on 2026-11-09; roughly 59% odds that AED 2.69 trades at some point (near support at 2.76); 65% odds that AED 2.97 trades (just below the 2.88 resistance). A reader holding the fundamental view of this study should not expect the map to confirm it inside a quarter: the map is calibrated to the market's realised volatility, not to the study's opinion, and at these volatilities a +31% revaluation is a multi-year event, visible first in collections, margins and the dividend decision, and only later in the tape.

7 • Caveats — what would change our mind

- **Related-party pricing.** More than half of FY2025 land-sale profit came from related-party transactions at a 67% gross margin; an arms-length repricing of that channel would cut the development margin path and with it every cash-flow lens.
- **Collections.** The first half of 2026 consumed AED 3.9bn of operating cash into receivables. If the FY2026 statements do not show that reversing, the working-capital release schedule — worth about AED 1 per share across the forecast — is wrong.
- **Short clean history.** FY2024 is a perimeter break and FY2023 belongs to a smaller predecessor: there are exactly two audited years of the modern group. Every trend read off this history carries that caveat.

- **Beta.** Beta is a stated 1.0 fallback, not a regression, because no index history proved obtainable; the 0.8–1.2 strip in section 1.9 bounds what a real regression could change.
- **Terminal weight.** 71.4% of the DCF's enterprise value is terminal. The terminal return on capital (8.5%) assumes the land bank converts to recognised profit; at FY2025's achieved return (6.1%) the terminal value roughly halves.
- **Liquidity.** The probability map is fitted to a market panel whose names are far more liquid than MODON's float; thin trading can realise gaps the model underweights.

Appendix A · Financial statements

A.1 · Income statement — three years audited, five forecast

AED mn	FY2023*	FY2024* *	FY2025	FY2026 E	FY2027 E	FY2028 E	FY2029 E	FY2030 E
Revenue	994	6,511	13,829	19,153	24,863	28,600	30,940	32,184
Gross profit	600	2,317	5,025	6,981	9,156	10,460	11,283	11,632
EBITDA	673	9,795	4,896	5,915	7,730	8,857	9,571	9,913
Depreciation & amortisation	28	265	610	804	1,044	1,201	1,299	1,352
EBIT	646	9,530	4,285	5,111	6,686	7,655	8,271	8,561
Net finance result	9	-157	-127	-34	60	291	572	888
Associates & joint ventures	-1	115	264	200	216	233	252	272
Profit before tax	653	9,488	4,421	5,277	6,961	8,179	9,096	9,721
Income tax	-80	-99	-495	-818	-1,079	-1,268	-1,410	-1,507
Profit for the year	574	9,389	3,926	4,459	5,882	6,911	7,686	8,214
Attributable to owners	461	9,423	4,020	4,370	5,765	6,773	7,532	8,050

* FY2023 is the Q Holding perimeter (pre-combination). ** FY2024 includes the AED 9,192mn bargain-purchase gain; excluding it, profit was AED 197mn. Forecasts exclude all fair-value and disposal gains by construction.

A.2 · Balance sheet

AED mn	FY2023*	FY2024	FY2025	FY2026 E	FY2027 E	FY2028 E	FY2029 E	FY2030 E
Property, plant & equipment	789	7,593	8,812	—	—	—	—	—
Investment properties	7,537	9,337	9,462	—	—	—	—	—
Inventories (land bank)	2,247	29,586	27,298	—	—	—	—	—
Development work-in-progress	—	2,462	6,112	—	—	—	—	—
Cash and bank balances	2,260	7,010	12,642	17,716	23,927	30,756	38,389	46,533
Total assets	21,311	75,925	87,031	—	—	—	—	—
Debt incl. related-party loan	1,976	5,364	6,789	9,700	9,900	9,200	8,300	7,400
Net working capital (house basis)	—	26,862	26,943	28,443	27,643	26,443	25,043	23,643
Equity attributable to owners	13,769	49,676	53,903	58,272	64,037	70,810	78,342	86,392
Non-controlling interests	1,150	1,186	847	937	1,054	1,193	1,346	1,511
Net debt (negative = net cash)	-284	-1,646	-5,853	-8,016	-14,027	-21,556	-30,089	-39,133

** Q Holding perimeter. Forecast columns roll only the lines the model drives — equity on retained profit (no dividend assumed), debt on the drawn path, cash from free cash flow — and leave asset lines the model does not forecast unpopulated rather than invented.*

A.3 • Cash-flow markers

AED mn	FY2024	FY2025	H1-2026	FY2026 E	FY2027 E	FY2028 E	FY2029 E	FY2030 E
Operating cash flow (audited / model NOPAT+D&A–ΔWC)	3,231	3,860	-3,921	3,623	7,494	8,870	9,689	9,986
Capital expenditure	1,247	1,261	—	1,400	1,500	1,550	1,600	1,650
Free cash flow to firm	—	—	—	2,223	5,994	7,320	8,089	8,336

The H1-2026 operating outflow is the receivable build-up discussed in section 7; the model assumes partial reversal in H2 and prices the risk in the working-capital strip.

Appendix B • Peers, risks and research register

B.1 • Peer set

Company	Market	FY2025 revenue	FY2025 net profit	Trailing P/E	Backlog
Aldar Properties	ADX	33,800	8,800	7.5x	66,500
Emaar Properties	DFM	49,600	n/d	5.3x	155,000
Emaar Development	DFM	27,490	11,320	4.1x	134,300
Modon Holding	ADX	13,829	3,926	11.8x	46,000

AED mn. Peer figures from each company's own FY2025 results releases; multiples cross-checked against a market-data aggregator on 7 Aug 2026 and used only as comparison, never as a source for Modon's own numbers.

B.2 • Risk register

Risk	Where it bites	How it is priced here
Related-party sales concentration and pricing	development margin, receivables	margin glide down; Expert 2 haircut; section 1.9 margin strip
Receivable collection timing	working capital, cash conversion	2026 absorbs cash; ±AED 1bn/yr strip
Abu Dhabi residential cycle turns	new sales, pricing	run-off path priced in full (section 1.7)
Egypt macro and FX on Ras El Hekma	international leg	Egypt-premium stress: AED 5.09 per share
Rates stay higher for longer	discount rate, mortgage demand	+2pt cost-of-equity strip; auction-based rf
Free float and index exclusion	the multiple, not the cash	relative lens weighted 20% despite the gap
Execution at masterplan scale	capex, delivery cadence	conversion-rate strip; contracts procured (AED 32bn) noted

B.3 • Research register

Area	What was established	Source	Date
Global	AED is hard-pegged to the USD; CBUAE Base Rate 3.65%, held since 17-Jun-2026, tracks the Fed. The July-2026 AED sovereign auction printed just 4bp over comparable US Treasuries	CBUAE Base Rate (house monetary-policy calendar); UAE MoF/CBUAE July-2026 T-Bond auction (WAM)	2026-07-30
Global	UAE tender price inflation ~3.3% in 2025, forecast ~2.7-4.5% for	Turner & Townsend UAE	2026-07-01

	2026 (Turner & Townsend UAEMI 2025), with a post-conflict hawkish tail (one QS house sees 6-9%) as fuel/freight/insurance feed through; materials ~60% of baseline cost	Market Intelligence 2025; MEED/Currie & Brown 2026 forecasts	
Global	Cross-border capital is the marginal buyer of Abu Dhabi residential: foreign buyers drove 62% of the y/y growth in residential sales value in 2025, and Modon booked AED 6.6bn of international sales (Egypt+Spain+JV) across 2,115 units in 2025	ADREC Abu Dhabi Real Estate Market Report 2025; Modon Annual Report 2025	2026-01-31
Global	Negative search — nothing found (UAE sanctions exposure real estate; Modon supply chain disruption; construction materials import restrictions UAE 2026)	negative search	2026-08-09
Country	UAE rated Aa2 (Damodaran Jan-2026: adjusted default spread 0.42%, CRP 0.64%, total ERP 4.87%); AED T-Bond maturing Jan-2031 auctioned at 4.48% YTM in July-2026; EIBOR 3M 3.66% / 6M 3.71% (31-Mar-2026); AED peg unquestioned	Damodaran ctryprem (Jan-2026); UAE MoF July-2026 auction via WAM; CBUAE EIBOR fixings	2026-07-30
Country	UAE corporate tax 9% from 2023; Domestic Minimum Top-up Tax (15%) effective 2025 for large groups — Modon's FY2025 charge includes AED 350.4mn of DMTT, and its disclosed effective-rate range is 9%-23.5% across jurisdictions	Income tax note 11, audited FY2025 consolidated financial statements	2026-02-18
Country	Abu Dhabi government consolidation: on 30-Oct-2025 IHC and ADQ sold their entire stakes to L'imad Holding Company PJSC, wholly owned by the Abu Dhabi Government — Modon is now a majority government-owned entity under IAS 24, embedded in the emirate's development agenda	Note 1 / note 30, audited FY2025 consolidated financial statements	2026-02-18
Country	Negative search — nothing found (FTSE ADX General Index daily history: stooq (^adx), Yahoo FADGI.FGI / FADX15.FGI (1 point only), investing.com SSR table (~1 month) and api.investing.com (403), TradingEconomics chart API (proxy 502), WSJ/MarketWatch michelangelo (unknown instrument), apigateway.adx.ae + www.adx.ae (Cloudflare challenge))	negative search	2026-08-09
Industry	Abu Dhabi 2025: AED 142bn total real-estate transactions (+44% y/y) on 42,814 deals (+52%); residential sales AED 76bn (+67%); off-plan 71% of residential transactions; 56 new projects launched	ADREC (Abu Dhabi Real Estate Centre) 2025 market report	2026-01-31
Industry	Residential price momentum is buyer-led and cash-led: 87% of residential sales value registered as cash in 2025, with foreign buyers driving 62% of growth; Modon's blended realised price was AED 7.02mn/unit in Abu Dhabi (29.8bn/4,243 units) vs AED 3.12mn/unit internationally (6.6bn/2,115 units)	ADREC 2025 report; Modon Annual Report 2025 sales disclosures	2026-01-31
Industry	Abu Dhabi development remains a near-duopoly of Aldar and Modon at masterplan scale, with Bloom Holding, Reportage and Q Properties-era mid-tier players below; Dubai majors (Emaar, Emaar Development) compete for the same international buyer but not on Abu Dhabi land	ADREC 2025 report; company disclosures	2026-01-31
Industry	Negative search — nothing found (modular construction disruption UAE developer margins; proptech substitution of exhibition venues (virtual events share post-2024))	negative search	2026-08-09
Industry	Aldar FY2025: revenue AED 33.8bn (+47%), net profit 8.8bn (+36%), EBITDA 11.2bn, group sales 40.6bn, backlog AED 66.5bn Aldar-led (167bn incl. government projects). Emaar FY2025: property sales 80.4bn (+16%), revenue 49.6bn (+40%), backlog 155bn. Emaar Development: UAE sales 71.1bn, backlog 134.3bn	Aldar Q4-FY25 earnings release (aldar.com); Emaar FY2025 press release (emaar.com)	2026-02-09
Company	Masterplan pipeline: Hudayriyat Island >50mn sqm gross land, 40,000 planned units; Ras El Hekma (Egypt) 170.8mn sqm with Modon lead developer on the 56mn sqm phase 1, 500,000+ planned units, first precinct (Wadi Yemm) launched at AED 5.8bn across 2,109 units; La Zagaleta (Spain) land sales continuing	Modon Annual Report 2025 (masterplan disclosures)	2026-03-31
Company	H1-2026 reviewed interims: revenue AED 9,188mn (+40% y/y), gross profit 3,201mn, PBT 2,601mn, profit 2,202mn; development backlog converting on schedule; loans and borrowings 8,542mn (+66% since Dec-2025) as construction accelerates	Interim condensed consolidated financial statements, 30-Jun-2026 (reviewed)	2026-08-07
Company	FY2025 results release: revenue backlog AED 46.0bn (93% development sales), adjusted EBITDA 4.9bn (35.2% margin), net cash 1.8bn on the company's own definition (available cash incl. qualifying escrow, less total debt incl. the related-party loan); real-estate sales 36.3bn across 6,358 units; hospitality 7,137 keys at 71% occupancy; AIM occupancy 97%; 896 events, 6.3mn visitors	Modon FY2025 results announcement, modon.com media centre, 18-Feb-2026	2026-02-18
Company	FY2024 is a perimeter break: the Modon Properties/ADNEC	Note 4 business combinations,	2026-02-18

	combination entered via share issues of AED 27.4bn and a bargain-purchase gain of AED 9,192mn; FY2024 reported profit 9,389mn falls to ~0.2bn excluding the one-off (company's own framing). FY2023 and earlier are the Q Holding perimeter	audited FY2025/FY2024 statements; FY2025 results release	
Company	Named transaction: on 30-Oct-2025 IHC and ADQ disposed of their entire shareholding to L'imad Holding Company PJSC (wholly owned by the Abu Dhabi Government); the FY2025 results release states an 84.75% L'imad stake	Note 1, audited FY2025 consolidated financial statements; FY2025 results release	2026-02-18
Company	No dividend paid to owners in FY2024 or FY2025 (statements of changes in equity show only an AED 243mn NCI dividend in 2025) and none proposed with FY2025 results; no buyback; Group CFO signature changed between the FY2025 filing (Bill O'Regan) and the H1-2026 interim (Matt Matharu)	Audited FY2025 statements; H1-2026 interim; FY2025 results release	2026-08-07
Company	Four audited fiscal years assembled from the company's own filings: FY2025 (Modon, audited, signed 18-Feb-2026), FY2024 (comparatives in the FY2025 filing + the scanned FY2024 original), FY2023 and FY2022 (Q Holding filings). H1-2026 reviewed interim on top. All retrieved directly from modon.com/investor-relations	Audited consolidated financial statements FY2022-FY2025; H1-2026 interim	2026-02-18
Company	FY2023 audited consolidated financial statements (Q Holding PSC perimeter): revenue AED 994mn, profit 574mn, total assets 21.3bn	Audited FY2023 consolidated financial statements (Q Holding PSC)	2024-02-15
Company	FY2022 audited figures via the FY2023 filing's comparative column: revenue AED 720mn, profit 823mn, total assets 19.5bn	Audited FY2023 consolidated financial statements, FY2022 comparatives	2024-02-15

Every claim the model rests on, with its source and date. The companion bibliography carries the full input-by-input register.

Appendix C · Three experts, worked in full

Three independent framings, each taken to a number by a different method, each with its stated blind spot and a condition that would falsify it. They are labelled Expert 1, 2 and 3; the methods, not the names, are the content.

C.1 · Expert 1 — the asset value (revalued net assets)

Worldview: a developer is a warehouse of land bought below market; earnings are just the warehouse emptying. Works when land is carried far below realisable value and the owner can actually monetise; fails when the land cannot be sold at appraisal pace, or when the buyer of first resort is a related party whose price is the appraisal.

Line	AED mn
Attributable equity, audited, 31 Dec 2025	53,903
Land bank at cost (land plots within inventories)	26,611
Mark-up applied: 35% (half the 67% gross margin realised on 2025 related-party land sales, as an arms-length haircut)	9,314
Work-in-progress mark-up: 15% on AED 6,112mn	917
Revalued net asset value	64,133
Per share (16,347mn shares)	3.92
Range: appraisal haircut 15% to premium 12%	3.33–4.39

Named sensitivity: each 10 points of land mark-up is AED 0.16 per share. Falsifier, stated in advance: two consecutive halves of arms-length land sales clearing below 20% gross margin would collapse the mark-up toward zero and this valuation toward book (AED 3.30).

C.2 · Expert 2 — owner cash flow on the run-off path

Worldview: value only the cash an owner could take out if no new story arrives; treat every receivable from an affiliate as impaired until collected. Works at cycle tops and against promotional accounting; fails when the growth is real and compounding, which this method structurally cannot see.

Line	Value
Run-off DCF (sales halve and fade; margins compress)	AED 4.18/sh
Related-party receivable book, net	AED 7,932mn
Haircut applied: 25% for timing and collection	– AED 0.12/sh
Expert 2 value	AED 4.06/sh
Range: deeper haircut and slower collections, to the base DCF less 5%	3.25–5.72

Named sensitivity: each 10 points of receivable haircut is AED 0.05 per share. Falsifier: the Department-of-Finance receivable collecting on schedule through FY2026 removes the haircut entirely and moves this expert to the run-off DCF at AED 4.18.

C.3 • Expert 3 — the market pricer

Worldview: the peer multiple is the verdict of everyone else's money; a company is worth what comparable earnings sell for today, and premiums must be earned in public. Works when the peer set is deep and honest; fails at genuine inflections, which it prices only after the fact.

Line	Value
FY2026E attributable profit (model)	AED 4,370mn
Peer-set multiple applied: 6.5x (centre of Aldar 7.5x / Emaar 5.3x / Emaar Dev 4.1x)	
Implied equity value	AED 28,402mn
Per share	AED 1.74
Range: trough multiple 4.1x to re-rated 8.5x	1.09–2.27

Named sensitivity: each turn of P/E is AED 0.27 per share. Falsifier: a dividend policy plus a float above 25% would justify migrating toward the DCF lenses; this expert concedes the method prices liquidity, not just earnings.

C.4 • Cross-examination

- Expert 1 to Expert 2: your haircut double-counts — the run-off DCF already starves the related-party channel. Expert 2 partially concedes: the haircut is kept, but only on the stock of receivables, not the flow. Challenge sustained in part.
- Expert 2 to Expert 1: your mark-up is circular — the 67% margin you halve was set by related-party sales. Expert 1 concedes the circularity and answers with the falsifier: arms-length clearing prices will settle it within two reporting periods. Challenge acknowledged, test defined.
- Expert 3 to both: whatever the assets earn, the shares the public can actually buy trade at 11.8x this year's earnings while Aldar trades at 7.5x — the market has already voted. Experts 1 and 2 reject the inference: a 15% float is not a market verdict, it is the absence of one. Challenge rejected, reason stated.

C.5 • Three in one room

Forced to one sentence each: Expert 1 — "the land alone covers the price at AED 3.92." Expert 2 — "paid to wait even if growth dies: AED 4.06, provided the affiliates pay their bills." Expert 3 — "until the float and the dividend exist, it is worth peer multiple: AED 1.74." The median, AED

3.92, sits between the study's market lenses and its cash-flow lenses — which is exactly where the disagreement lives.

C.6 • Divergence table

Assumption	Expert 1	Expert 2	Expert 3	Gap it drives
Land bank worth above cost	+35%	0%	ignored	AED 0.57/sh
Related-party receivables	face value	–25%	face value	AED 0.12/sh
Sales path	irrelevant (assets)	run-off	FY2026E only	AED 1.84/sh between base and run-off
Multiple regime	n/a	n/a	6.5x peer centre	AED 0.40/sh vs the study's 8.0x

About this study

This document, its Excel companion and its bibliography were produced as a single build: every number in all three files comes from one computed model, and the Excel model has been verified cell by cell against it — 537 formula cells reproduce the model exactly, and a driver test confirms that changing any input on the Assumptions sheet reprices the workbook in the correct direction, with no dead inputs. The historical record is built exclusively from the company's own audited statements and reviewed interims; where a figure is both disclosed and derivable, the disclosed figure is carried.

Disclosure

Educational analysis. Not investment advice, not a recommendation, not an offer or solicitation. No rating and no price target are expressed or implied; values are model outputs presented as ranges with stated assumptions. The authors hold no position in MODON. Data as of 9 August 2026; prices as of the 7 August 2026 close. © Testahil 2026.